

pharmaceuticals and electronics, are not covered. The US is India's largest export destination (\$86.5 billion in FY25).

Now, about \$74 billion of India's exports to the US will have lower tariffs, with goods worth \$30 billion at an 18% rate, another \$40 billion at nil, and \$4 billion already exempt. Only about \$12 billion worth of goods, most of which are under Section 232 of the US Expansion Trade Act, including aluminium, steel and copper, will be taxed at higher rates.

Following the joint statement by India and the US and an executive order by Trump, tariffs have been reduced to 25% effective February 7, and are set to go down to 18% in another few days. Goyal has called it a fair, equitable and balanced agreement that will make India future-ready, boost exporters and Make in India, protect Indian farmers by safeguarding key interests in agriculture and dairy and benefit consumers. The deal could open opportunities worth \$300 billion for Indian exporters, he said. "A formal agreement is being drafted, which may take a month or a month-and-a-half," he said, adding that it is likely to be signed by mid-March. Commerce Secretary Rajesh Agrawal has said the legal agreement will enable India to reduce tariffs on US goods.

As per estimates by BoFA Global Research, in view of the rising share of electronic exports to the US, the effective tariff on India will be 12-13%, assuming that the reciprocal tariffs are stacked on top of the prevailing MFN (most favoured nation) tariffs.

For now, the announcement has given domestic industry and exporters a reason to rejoice and catch their breath. Economists expect a boost to growth and investment prospects. Srivastava of GTRI says the average tariff on India by the



“ When the Budget was presented the uncertainty was very high. The EU deal had just got signed. The Budget maintained continuity and consistency. ”

ANURADHA THAKUR
ECONOMIC AFFAIRS SECRETARY



“ The target of 4.3% for fiscal deficit is an ideal number, and it should enable us to meet whatever expenditure requirements are there. It reflects the government's commitment to fiscal prudence. ”

V. VUALNAM
EXPENDITURE SECRETARY

US was about 2.9% under the MFN clause. It went up to 53% (inclusive of the 50% tariff) and would now be about 21%, he says, noting that this places India at a more competitive position compared to Bangladesh and Vietnam. "However, as part of the BTA, the US has not removed all duties even as India will reduce or eliminate its MFN tariffs on all US industrial goods and on many food and agricultural products," he says.

While the US tariffs on India were much lower in the pre-Trump era, exporters say India will have a fighting chance even with an 18% rate. SC Ralhan, Chairman, Federation of Indian Export Organisations, says exporters are receiving enquiries from the UK, EU and the US and expect a huge rush of orders after February. "The reduction in tariffs by the US is expected to boost exports in sectors, including marine, leather, furniture, engineering goods, apparel

and pharmaceuticals. The psychological impact of the tariffs has been high; many buyers moved to other countries," he says.

A Sakthivel, Chairman, Apparel Export Promotion Council, says the deals with the UK, the EU and the US will prove to be a boon for the apparel and textile sector. Most producers are looking to expand to meet the new orders. "A lot of orders had stopped after the 50% tariff. In the UK deal, big stores are already scouting for suppliers," he says.

India's key exporting sectors, including textile and apparel, gems and diamonds, marine products, pharma, inorganic chemicals, vegetables and fruits would enjoy nil tariff. Significantly, aircraft parts, which have seen a surge of orders from US majors such as Boeing and Airbus, are also now at nil tariff. These companies are now likely to purchase more from India.